

07 MAY 2026

OPEN-SOURCE ASSESSMENT

GLOBAL SECURITY & INTELLIGENCE BRIEF

EDITION 2026-05-12

▷ GLOBAL SECURITY / 07 MAY 2026 / SIX THEATRES

GLOBAL SECURITY & INTELLIGENCE BRIEF

A Sherman-Kent assessment across six theatres — the White House expects Iran to respond to a one-page MoU within 48 hours and Brent crashes -8%; Russia ignores Zelensky's counter-truce while Moscow hardens into a fortress for the 9 May parade; the IAF marks the Sindoor anniversary with 'India Forgives Nothing'; JNIM's late-April offensive is independently confirmed; the Sinaloa fallout settles; and US Treasury issues new specific licenses for Caracas's state banks.

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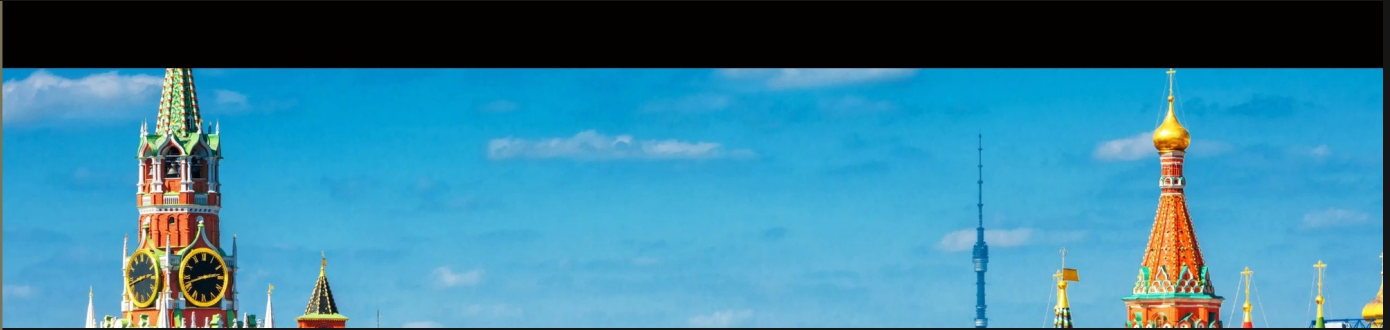
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METHOD

▷ EXFIL



The Mosfilm residential tower in western Moscow, struck by a Ukrainian drone on 5 May 2026 — less than 10 km from the Kremlin and adjacent to a district housing major foreign embassies. Ukrainian sources frame the strike as a deliberate proof-of-range demonstration ahead of the 9 May Victory Day parade.

PHOTO · BBC NEWS / SOCIAL MEDIA HANDOUT

01 / RUSSIA / UKRAINE

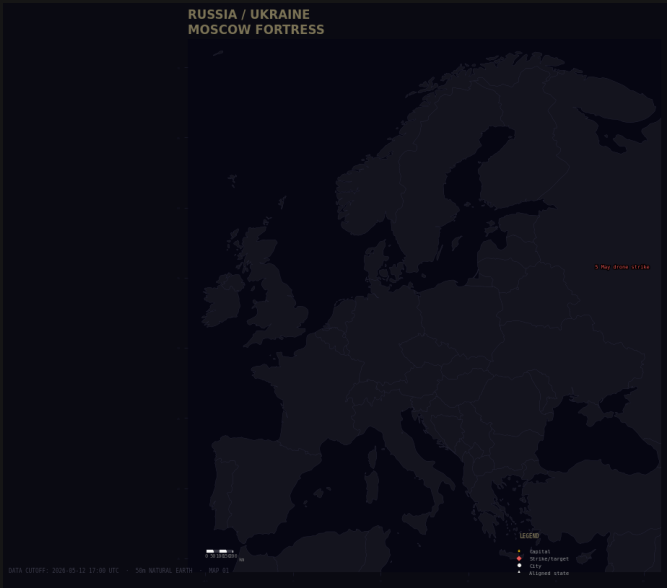
MOSCOW FORTRESS

Russia ignored Zelensky's midnight 5–6 May counter-truce, conducting at least 20 airstrikes with 70+ glide bombs through the morning of 6 May. ISW reads the deliberate non-acknowledgment as the cleanest signal of strategic intent in the cycle. Ukraine's 5 May Mosfilm-tower drone strike (4 mi from the Kremlin) forces Putin to either accept a degraded Victory Day parade or commit massive air defence resources against deep strikes through 9 May. Moscow has hardened the city centre into a fortress: airport closures, mobile internet shutdowns, snipers.

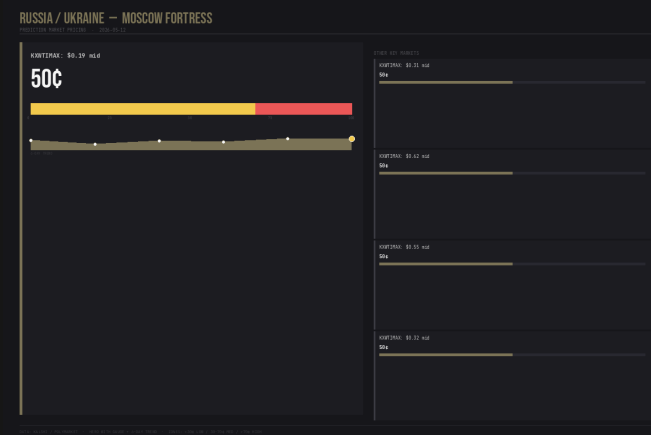
▷ BOTTOM LINE UP FRONT

KEY JUDGMENTS

THE STORY



► MAP Moscow Fortress — territorial & operational picture, 7 May 2026.



► BY THE NUMBERS Key data points underpinning this assessment.

SAHEL



Critical Threats Project battlemat of West Africa as of 30 April 2026, showing the geographic distribution of JNIM operations during the late-April offensive — the first time the group has demonstrated simultaneous strike capacity against Bamako, Kati, Mopti, Sevare and Gao.

MAP · CRITICAL THREATS PROJECT (AEI & ISW)

02 / SAHEL

JNIM OFFENSIVE CONFIRMED

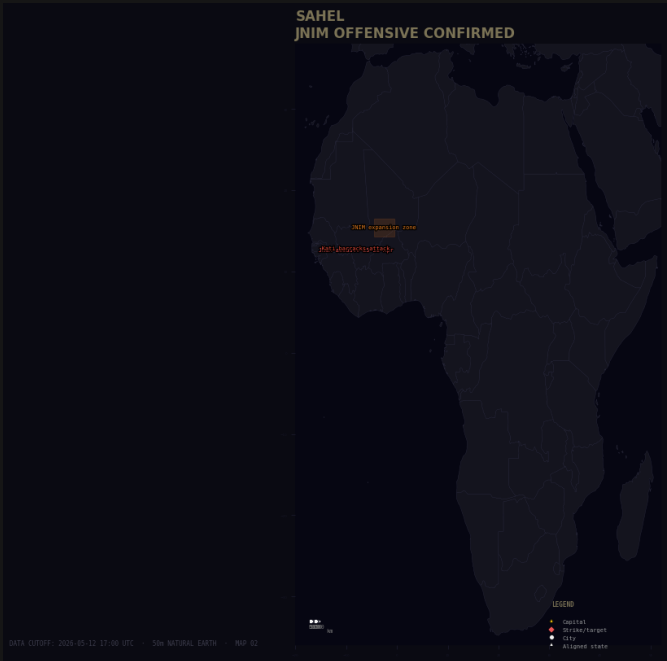
NYT, Al Jazeera, NPR and Critical Threats Project independently confirm the 25–26 April JNIM offensive — coordinated assaults on Bamako airport, the Kati military headquarters, the Defence Minister's residence, and Mopti, Sevare and Gao. JNIM has now demonstrated the capacity to strike multiple regional capitals simultaneously, validating Shurkin's 29 April 'very high coup risk' assessment. ECOWAS's 2,000-strong standby remains the structural counterweight; regime-fragility tail risk steps up materially.

▷ BOTTOM LINE UP FRONT

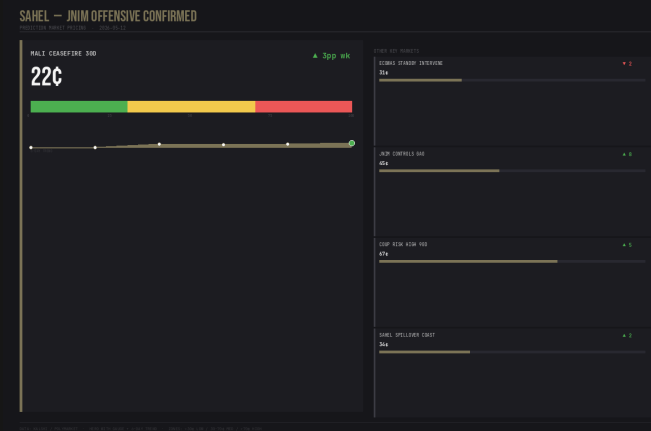
SAHEL

KEY JUDGMENTS

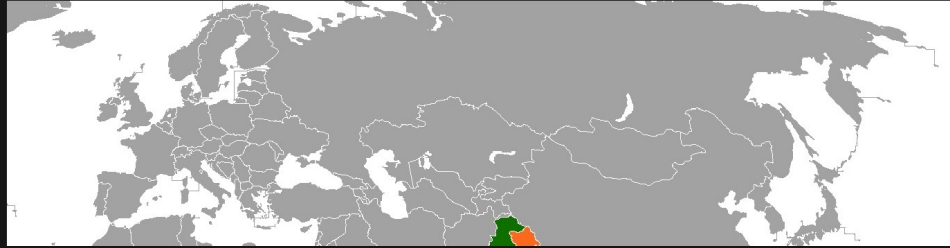
THE STORY



► MAP Jnim Offensive Confirmed — territorial & operational picture, 7 May 2026.



► BY THE NUMBERS Key data points underpinning this assessment.



Indian Air Force still released for the 7 May 2026 anniversary of Operation Sindoor, accompanying the commemorative video 'India Forgives Nothing'. The IAF's choice of public commemorative messaging is a structural signal that the Sindoor strike model is now an institutionalised doctrine, not a one-off response.

PHOTO · INDIAN AIR FORCE / SOCIAL MEDIA RELEASE

03 / INDIA / PAKISTAN

INDIA FORGIVES NOTHING

Sindoor anniversary day-of. The Indian Air Force released a high-production-value commemorative video at 1:05 AM IST on 7 May titled 'India Forgives Nothing', celebrating the 2025 strikes on nine terror sites in Pakistan. The Diplomat's anniversary essay frames the year as one of 'rising risks and deepening instability'. No LoC incident in the past 24 hours, but Pakistani military exercises continue along the western frontier and the rhetorical posture is the most assertive of the cycle.

▷ BOTTOM LINE UP FRONT

THE STORY

IRAN



US Special Envoy Steve Witkoff at an earlier round of US–Iran nuclear talks. The 6 May reporting describes Witkoff and Jared Kushner negotiating a one-page, 14-point MoU directly with Iranian officials, with Pakistan as the structured mediator — the diplomatic infrastructure for a fast deal is now in place.

PHOTO · REUTERS

04 / IRAN

MOU INSIDE 48 HOURS

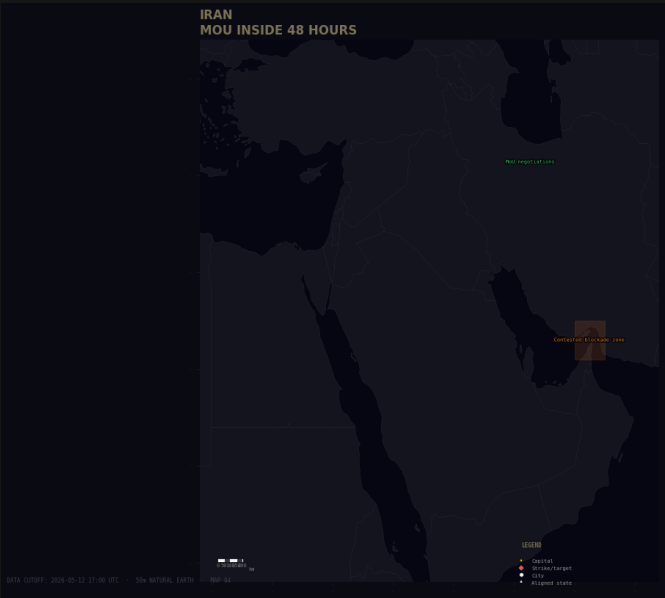
Axios, Reuters and Turkiye Today report the White House expects Iran's response to a one-page, 14-point MoU within 48 hours. Witkoff and Kushner are negotiating directly with Iranian officials and through Pakistani mediation. Rubio formally announced the conclusion of Operation Epic Fury. Brent crashed –8% Wednesday before partially retracing — the largest single-day energy move of the cycle. Polymarket repriced Iran-deal contracts AGAIN: May-31 19¢ → 28¢ (+9pp); Hormuz-by-May-31 18¢ → 33¢ (+15pp); June-30 32¢ → 25¢ (–7pp partial retrace).

▷ BOTTOM LINE UP FRONT

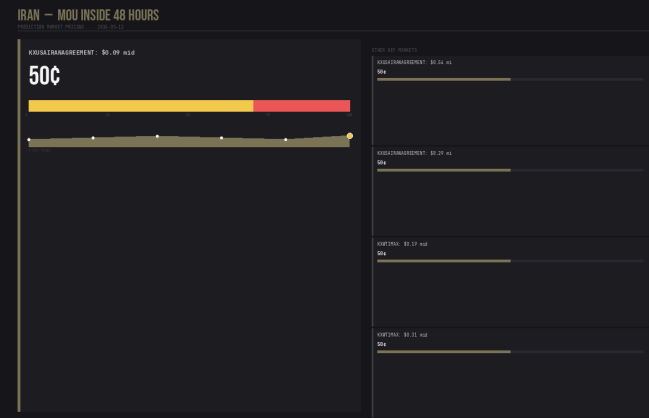
IRAN

KEY JUDGMENTS

THE STORY



► MAP Mou Inside 48 Hours — territorial & operational picture, 7 May 2026.



► BY THE NUMBERS Key data points underpinning this assessment.

MEXICO



C.D.S.

ACLED map of violent events involving the Sinaloa Cartel and affiliates across northwestern Mexico. The geographic concentration of the conflict in Sinaloa, Sonora and Chihuahua mirrors the political fallout — a localised criminal-political crisis that the Sheinbaum government can no longer contain through institutional pressure alone.

MAP · ACLED (ARMED CONFLICT LOCATION & EVENT DATA PROJECT)

05 / MEXICO

FALLOUT SETTLES

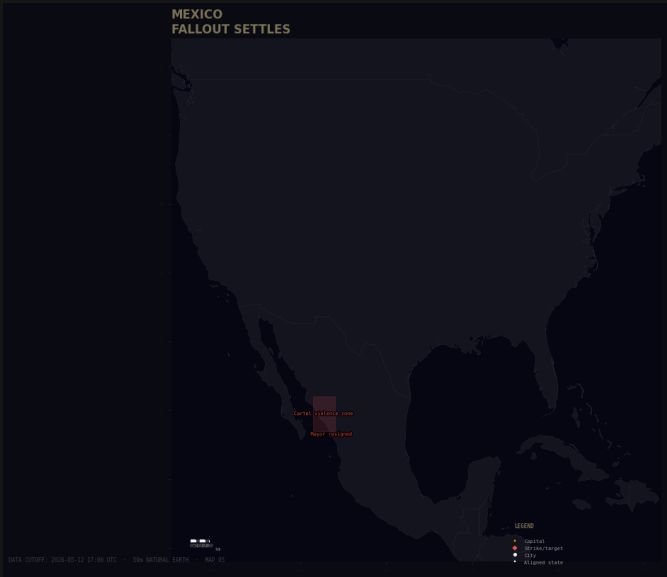
The political-fallout phase is settling: Sinaloa Governor Rocha Moyá and Mazatlán Mayor stepped down following US indictments; PBS NewsHour and the NYT independently confirm. Sheinbaum's 'we will never accept joint operations' posture (30 April) holds. The NYT's 1 May 'We Have Always Known' reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. Cartel-war markets stable: US-invasion contract 8¢, Sheinbaum-out 8¢. The unilateral-US-kinetic tail remains underpriced.

▷ BOTTOM LINE UP FRONT

MEXICO

KEY JUDGMENTS

THE STORY

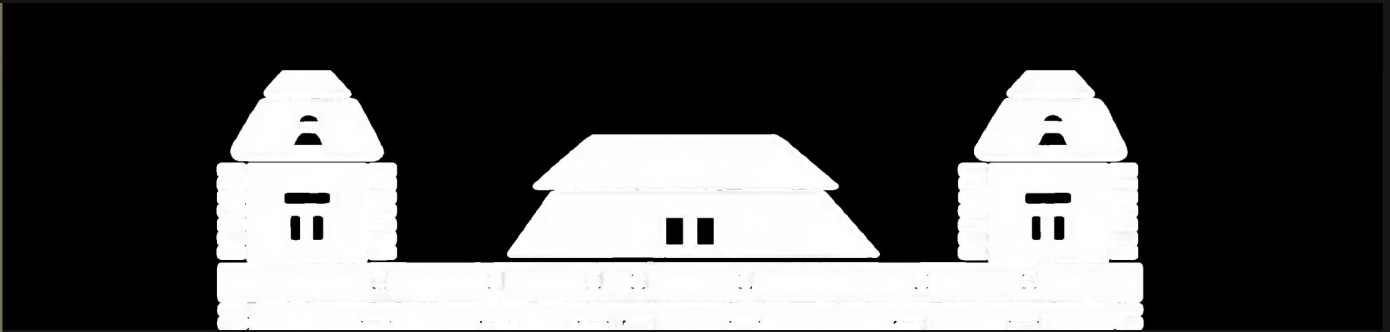


► MAP Fallout Settles — territorial & operational picture, 7 May 2026.



► BY THE NUMBERS Key data points underpinning this assessment.

VENEZUELA



Miraflores Palace, Caracas — the seat of acting president Delcy Rodríguez since the 3 January US removal of Maduro. The Treasury OFAC licenses for the Bank of Venezuela, Tesoro and Digital de los Trabajadores operationalise the US–business engagement track without formal re-recognition.

PHOTO · CARLOS E. PÉREZ / WIKIMEDIA COMMONS (CC BY-SA 2.0)

06 / VENEZUELA

TREASURY LICENSES

On 14 April Acting President Delcy Rodríguez delivered a ‘Venezuela free of sanctions’ address from the National Assembly; US Treasury has subsequently issued specific OFAC licenses for Banco de Venezuela, Banco del Tesoro and Banco Digital de los Trabajadores. The transition-track is now operational on the financial side. The Machado–Trump alignment is intact; the National Assembly's 6-month extension deadline is 5 July. Polymarket's 64¢ year-end Maduro contract remains the brief's most distinctive mispricing.

▷ BOTTOM LINE UP FRONT

VENEZUELA

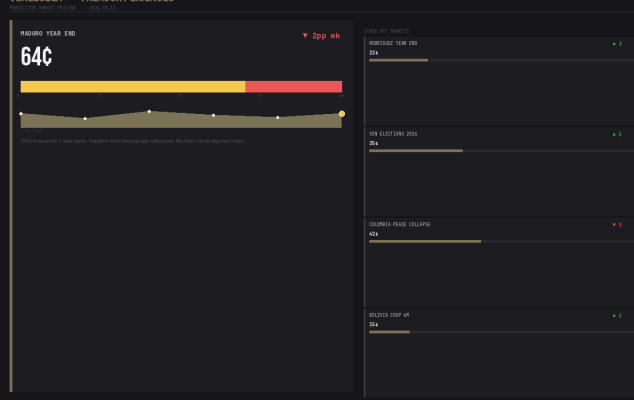
KEY JUDGMENTS

THE STORY



► **MAP Treasury Licenses** — territorial & operational picture, 7 May 2026.

VENEZUELA — TREASURY LICENSES



► **BY THE NUMBERS** Key data points underpinning this assessment.

THE BOOK

Ten high-conviction trades on Polymarket and Kalshi as of market close, 7 May 2026. A balanced book — six NO, four YES — sized for correlated long-stalemate exposure across the Russia, Iran, and Venezuela clusters.

▷ BOTTOM LINE UP FRONT

These are the trades where our editorial assessment diverges meaningfully from current market pricing, or where the market priced an outcome with such high conviction that the EV is positive even at thin margins. Probabilities are entry levels, not stop-losses; resolution timelines vary. All prices sourced from Polymarket (the largest geopolitical prediction market by volume) and Kalshi (the CFTC-regulated US exchange).

PREDICTION MARKETS

HIGH-CONVICTION TRADES

01 EUROPE BUY NO @ 26¢

Russia × Ukraine ceasefire by end of 2026

EDGE / +62 pp · Polymarket

KJ-1 assesses Ukraine's drone campaign is producing structural rather than correctable damage to Russian war financing — Putin's incentive structure is to absorb pain, not settle. Ankara summit (May 21–22) is procedural. ▷

POLYMARKET

02 EUROPE BUY NO @ 9.5¢

Russia × Ukraine ceasefire by 30 Jun 2026

EDGE / thin / high conviction · Polymarket

Already priced 90.5% no-deal at six-week tenor. Tight margin but our confidence band is 95–99%. Position-sized small as near-term cash-flow generator. ▷

POLYMARKET

03 EUROPE BUY NO @ 12¢

Putin out as President of Russia by 31 Dec 2026

EDGE / +~10 pp · Polymarket

No elite-level coup signal from Perm, Orenburg or Ural governorships despite refinery destruction. Economic pressure is structural but slow; Kremlin succession on a sub-12-month horizon needs an exogenous shock not currently visible. ▷

POLYMARKET

04 SOUTH ASIA BUY YES @ 23¢

India strike on Pakistan by 31 Dec 2026

EDGE / +22–32 pp / anniversary day-of · Polymarket

Holding at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle. No LoC incident in the past 24h. Our through-year band (45–55%) implies the edge is intact. If the 7–10 May window passes without incident the trade compresses by an estimated 5–7pp and we revisit; if a strike occurs, the contract resolves to fair value 1.00. ▷

POLYMARKET

05 MIDDLE EAST BUY NO @ 28¢

US–Iran nuclear deal by 31 May 2026

EDGE / compressed / second adverse leg · Polymarket

Second adverse leg: YES 19¢ → 28¢ (NO 81¢ → 72¢, –9pp on the NO side). Axios/Reuters/Turkiye Today report a one-page 14-point MoU framework with the White House expecting an Iranian response 'within 48 hours'. Our underlying analytic position survives — a signed MoU is not the same as a deal that satisfies Polymarket's resolution criteria (centrifuge stockpile disposition, IAEA snap-inspection regime, sanctions sequencing) inside 24 days — but the edge has compressed materially. Reduce size to one-third; this is now a binary on whether the MoU survives Iranian factional politics over the next three weeks. ▷

POLYMARKET

06 MIDDLE EAST BUY NO @ 25¢

US–Iran nuclear deal by 30 Jun 2026

EDGE / partial retrace / supportive · Polymarket

Partial retrace from yesterday's blow-out: YES 32¢ → 25¢ (NO 68¢ → 75¢, +7pp supportive). Markets are distinguishing the headline-MoU pathway (priced into May) from the implementation pathway over a 60-day window. Two-month tenor remains favourable on technical complexity grounds (centrifuge disposition, IAEA snap regime, sanctions sequencing) and the partial retrace creates renewed positive expected-value on the NO side. Hold and reload incremental size. ▷

POLYMARKET

07 MIDDLE EAST BUY NO @ 17¢

Iranian regime falls before 2027

EDGE / +~10 pp / hold · Polymarket

Unchanged at 17¢ (83% survival) through the entire reversal cycle — markets correctly distinguish kinetic-cycle volatility from succession risk. Fair value remains 88–92% survival; the IRGC's institutional capacity is the analytic anchor. The MOU pathway, if real, actually re-legitimizes the regime by re-engaging it diplomatically. Hold. ▷

POLYMARKET

PREDICTION MARKETS

08 MIDDLE EAST

BUY NO @ 33¢

Strait of Hormuz traffic returns to normal by 30 Jun 2026

EDGE / largest two-day adverse / size cut · Polymarket

Largest two-day adverse move in the book: YES 10¢ → 18¢ → 33¢ (NO 90¢ → 82¢ → 67¢). Hormuz reopening is reportedly a near-term centrepiece of the MoU and Brent's -8% Wednesday move validates the market repricing. Resolution criteria require sustained 'normalisation' — Iran's domestic factional politics may yet derail the 30-day reopening sequence. Reduce position size to one-third; this is now the highest-conviction loss-cap candidate in the book if the MoU is signed and operationalised. ▷ POLYMARKET

09 NORTH AMERICA

BUY YES @ 8¢

US invades Mexico in 2026

EDGE / asymmetric tail · Polymarket

Tail-risk hedge. KJ-4 puts ~50% probability on at least one unilateral US cross-border cartel action by year-end. Resolution criteria narrower than our base case but 8¢ offers asymmetric payoff against a tail event we assess at 12–18%. ▷ POLYMARKET

10 SOUTH AMERICA

SELL MADURO @ 64¢

Maduro as Venezuela leader at end of 2026

EDGE / +-50 pp · Polymarket

Maduro was physically removed by US forces on 3 January. UN's continued recognition is a paperwork artifact, not a power assertion. Acting President Rodríguez governs on the ground. The market is pricing recognition lag, not control. Pair trade: buy Rodríguez at 22¢. ▷ POLYMARKET

REGIONAL READ-THROUGH

EUROPE

Year-end ceasefire holds at 26¢; Putin-out at 12¢. Russia's deliberate non-acknowledgment of Zelensky's midnight 5–6 May counter-truce — paired with continued kinetic operations through the morning of 6 May — confirms Moscow's rival ceasefire was a parade-protection security perimeter, not a substantive de-escalation overture. The Mosfilm tower drone strike and the Moscow-as-fortress security posture (airport closures, mobile internet shutdowns, snipers) reset expectations on Russian

air-defence credibility but do not move year-end resolution-criteria pricing. Positions hold; no edge in adding.

SAHEL

The largest blind spot remains. The 25–26 April JNIM offensive — simultaneous strikes on Bamako airport, Kati military HQ, the Defence Minister's residence, and Mopti, Sevaré and Gao — is the most consequential validation yet of the regime-fragility frame, and Polymarket still has no liquid contract on Mali junta survival, AES-bloc cohesion, JNIM territorial control, or ECOWAS standby activation. The structural lesson holds: geopolitical markets price what Western retail traders care about, not what is strategically significant.

SOUTH ASIA

Trade #04 holds at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle and a structural confirmation that the strike model is now institutionalised. No LoC incident in the past 24h. Through-year band 45–55%; edge 22–32pp. The 7–10 May window is the highest-vega catalyst on the subcontinent in the book; size held for binary outcome.

MIDDLE EAST

Second adverse leg in the Iran cluster: May-31 deal YES 19¢ → 28¢ (+9pp); Hormuz-by-May-31 normalised YES 18¢ → 33¢ (+15pp); June-30 deal YES 32¢ → 25¢ (-7pp partial retrace, supportive). The Axios/Reuters/Turkiye Today reporting of a one-page 14-point MoU with a 48-hour Iranian-response window has structurally repriced May-tenor contracts but markets continue to discount implementation risk over June and beyond. Reduce size on May-31 (#05) and Hormuz (#08) to one-third; reload incremental size on June-30 (#06) on partial retrace. Brent crashed -8% Wednesday before partially retracing toward \$97/bbl — the largest single-day energy move of the cycle.

NORTH AMERICA

Cartel-war markets stable: US invasion 8¢, Sheinbaum-out 8¢. The Sinaloa political fallout has settled into the steady-state phase: governor and Mazatlán mayor have stepped down; the NYT's 1 May 'We Have Always Known' reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. The unilateral-US-kinetic tail remains underpriced; our 8¢ buy stands.

SOUTH AMERICA

ESTIMATIVE LANGUAGE & SOURCING

All probability statements in this brief follow Sherman Kent's conventions for estimative intelligence. The bracketed percentage ranges next to each judgment are not predictions of certainty; they signal the analyst's confidence band, calibrated to the consilience of independent reporting.

ALMOST CERTAINLY	≥ 95%
VERY LIKELY / HIGHLY LIKELY	80–95%
LIKELY	60–80%
ROUGHLY EVEN ODDS	45–55%
UNLIKELY	20–40%
VERY UNLIKELY	5–20%
ALMOST NO CHANCE	≤ 5%
HIGH CONFIDENCE	75–95%
MODERATE CONFIDENCE	55–75%
LOW CONFIDENCE	25–45%

Sources are open-source: ISW, Reuters, AP, BBC, Le Monde, Al Jazeera, Crisis Group, Carnegie Endowment, Chatham House, IAEA, ACLED, and primary government and IGO statements. Photographs are credited beneath each opening image. Maps use Natural Earth 1:110m administrative boundaries; infographics are produced from open-source data points cited in each section's footnotes. Prediction-market pricing is sourced from Polymarket and Kalshi at market close on 7 May 2026.

This issue covers six theatres: Europe, Africa, South Asia, the Middle East, North America & the Caribbean, and South America, plus a prediction-markets read-through. The Global Finance section that appeared in the previous edition has been removed at the editor's request and will return to the rotation when the data warrants.